

Uday Kumar K M vs M Thyagaraja on 6 May, 2026

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Cri Appeal No.436/2023

KABC010092812023

IN THE COURT OF LV ADDL. CITY CIVIL AND SESSIONS
JUDGE, BENGALURU (CCH-56)

DATED: THIS THE 6th DAY OF MAY 2026

PRESENT

SRI. MOHAN PRABHU, M.A., LL.M.

LV ADDL. CITY CIVIL AND SESSIONS JUDGE, BENGALURU

CRIMINAL APPEAL NO.436 / 2023

Appellant/
accused

MOHAN
PRABHU

Digitally signed
by MOHAN
PRABHU
Date: 2026.05.11

UDAY KUMAR K.M.
AGED ABOUT 53 YEARS,
S/O MUTTAIAH
RESIDING AT No.619, 4TH MAIN ROAD,
5TH CROSS, PIPELINE ROAD,
MUNESHWARA BLOCK,
T.DASARAHALLI,
BENGALURU - 560 057..

[R/by Sri.B.ANJANEYALU, Adv.]

Vs

13:17:43 +0530
Respondent/
Complainant

M.THYAGARAJA
AGED ABOUT 66 YEARS,
S/O B.MAHADEVAPPA
RESIDING AT No.2109, MAHADESHWARA
NILAYA, 11TH CROSS, BEHIND
MUTHARAYAPPA TEMPLE ROAD,
PRASANTH NAGAR, T. DASARAHALLI,
BENGALURU 560 057.

[R/by Sri N.K., Adv.]

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Cri Appeal No.436/2023

JUDGMENT

This appeal is filed U/s.374[3] of Cr.P.C., by the accused against the judgment of conviction dated:

21.03.2023 passed in C.C. No.24580/2019 by learned XX ACMM, Bengaluru for the offence under S.138 of Negotiable Instruments Act [for short 'N.I. Act'].

The parties are referred to their rank before the trial court.

The case of the complainant is briefly stated as follows:

The complainant and the accused are friends. In order to improve his business and also to meet his financial commitment, on 18-10-2018, the accused has borrowed a hand loan of Rs. 3 lakhs by way of cash from the complainant and promised to repay the same within six months. Thereafter, when the complainant has demanded to repay the hand loan amount, the accused has issued a cheque bearing number 022202, dated 03- 07-2019, for Rs. 3 lakhs, drawn on Cauvery Grameena Bank, Havanoor Extension, Bengaluru, in favor of complainant towards repayment of hand loan amount.

Cri Appeal No.436/2023 When the complainant presented the said cheque for encashment through his banker, the cheque came to be dishonored with an endorsement dated 04-07-2019 as "Funds Insufficient". Thereafter, on 31-07-2019, the complainant has got issued legal notice to the accused requesting him to pay the cheque amount within fifteen days from the date of receipt of notice. The notice sent to the accused returned unclaimed. Despite service of notice, the accused neither paid the cheque amount nor issued reply notice. Hence, the complaint.

(2) Based on the complaint filed by the complainant, the learned Magistrate taken cognizance of the offence under section 138 of Negotiable Instruments Act and registered a case as PC No. 11824 of 2019. The sworn statement of the complainant recorded as the complainant filed affidavit in lieu of his sworn statement and document Exhibit P1 to P5 are marked. The learned Magistrate on perusal of the sworn statement of the complainant, complaint averments and the documents passed an order 17.10.2019 to register criminal case against the accused in Criminal Register No.III for the Cri Appeal No.436/2023 offence punishable under section 138 of Negotiable Instruments Act and issued summons to the accused.

Hence, case in CC No. 24580 of 2018 came to be registered. The accused entered appearance by engaging his counsel and released on bail. The learned Magistrate considered the sworn statement as evidence and opportunity was given to the accused to cross-examine PW1. The accused examined u/S.313 of CrPC. He has denied the incriminating evidence. Accused has not led defence evidence. The learned Magistrate Pronounced the judgment on 21.3.2023 and acting under section 255(2) of CRPC, the accused convicted for the offence punishable under section 138 of Negotiable Instruments Act and sentenced him to pay a fine of Rs. 3,60,000. In default, shall undergo simple imprisonment for three months. Out of fine amount, an amount of Rs. 3,50,000 shall be paid to the

complainant as compensation and the remaining fine amount, Rs. 10,000, shall be defrayed to the State.

(3) Aggrieved by the Judgment of conviction, the accused has preferred this appeal on following grounds :

(4) The judgment passed by the trial court is Cri Appeal No.436/2023 illegal, arbitrary, capricious, and not sustainable either in law or on facts. The trial court has not given sufficient opportunity to the appellant to defend the case. The trial court has not given sufficient opportunity to cross-

examine PW1 and to elicit the truth. The trial court has not given sufficient opportunity to the accused to lead defense evidence. The counsel representing for the appellant not defended the case effectively. Even though the appellant filed application before the trial court for change of his advocate and to recall the order and to permit him to lead defense evidence, the trial court has rejected the application, not given opportunity to the appellant either to change the advocate or to lead defense evidence. The trial court, without hearing the arguments, pronounced the judgment. The judgment passed by the trial court is based upon only presumptions and assumptions and not based on prevailing facts and circumstances of the case. The judgment of conviction passed by the trial court is not sustainable in law. Hence, on these grounds, the appellant prayed to set aside the judgment of conviction and order of sentence dated 21.03.2023 passed by XX ACMM, Bangalore in CC No. Cri Appeal No.436/2023 24580 of 2019.

(5) The trial court records received.

(6) The respondent entered appearance by engaging his counsel.

(7) In this appeal, this appellate court, by allowing application filed by the appellant has given an opportunity to the appellant accused to further cross- examine PW1 and also to lead his defence evidence, hence PW1 has fully cross-examined by the learned counsel for the appellant. The appellant accused himself led defence evidence as DW1 and documents Exhibit D1 to D3 are marked on the side of the appellant accused.

(8) I have heard the arguments of the learned counsel for appellant and learned counsel for the respondent.

(9) I have perused the entire record.

(10) The following points would arise for my consideration:-

Point No.1:- Whether the impugned judgment of conviction and order of sentence passed thereon is illegal, perverse and calls for interference?

Cri Appeal No.436/2023 Point No.2:- Whether there is sufficient grounds made out by the appellant to set side the judgment passed in C.C.No.24580/2019 as prayed for?

Point No.3:- What order?

(11) My findings to the above points are as below:-

Point No.1:-	In the negative
Point No.2:-	In the negative
Point No.3:-	As per the final order, for the following

REASONS

(12) POINT NO.1&2:- These two points are

taken up together for discussion for the sake of convenience and in order to avoid repetition of facts and evidence.

(13) The complainant who was examined as PW₁ in his affidavit filed in lieu of examination in-chief has reiterated the complaint averments. He has deposed that he and the accused are friends. The accused is doing business and having security agency. For the improvement of his business and other financial commitments, the accused had approached him and requested him for a hand loan of rupees three lakhs in Cri Appeal No.436/2023 the month of August 2018. Heeding to the request of the accused, he had agreed and paid hand loan of Rs.3 lakhs to the accused on 18.10.2018 by way of cash. The accused agreed to repay the hand loan amount within six months. After completion of six months, he requested the accused to repay the hand loan amount, but the accused has stated his financial difficulties and further requested for a period of another two months for repayment of the hand loan amount. Thereafter, after agreed period, he again demanded the accused for repayment of loan amount. After repeated requests made by the complainant, the accused issued a cheque bearing number 022202 dated 03.07.2019 for Rs.3 lakhs drawn on Cauvery Grameena Bank, Havanur Extension, Bengaluru, in favor of him in order to discharge his liability. Upon instruction of the accused, he had presented the cheque for encashment through his banker, KSC Apex Bank Limited, T. Dasarahalli branch, Bengaluru. But to his utter surprise and shock, cheque came to be dishonoured with an endorsement as 'funds insufficient' and had issued written memo on 4/7/2019.

The same was intimated to the accused on the same day Cri Appeal No.436/2023 and he had approached the accused and appraised dishonour of cheque, but the accused did not respond his request. The appellant has failed to repay the borrowed amount, hence he got issued legal notice dated 31/7/2019 and sent to the address of the accused, calling him to pay the cheque amount of

Rs.3 lakhs within 15 days from the date of receipt of notice. The notice sent to the accused by registered post acknowledgment due was returned with shara as 'not claimed and returned to sender' on 8/8/2019. PW1 has deposed that accused has not made payment for the dishonoured cheque amount. Hence he filed complaint.

(14) In order to substantiate the contention taken by PW1, document Exhibit P1 to P5 are marked. Exhibit P1(a) signature of the accused is marked. Exhibit P5(a) is the notice which was there in Exhibit P5, postal envelope. During the course of cross-examination of PW1, the learned counsel for the accused denied the signature of the accused found in Exhibit P1, which is marked as Exhibit P1(a). The suggestion is also made to PW1 is that he has no financial capacity to pay such amount. The Cri Appeal No.436/2023 learned counsel for the accused also taken defense that notice as per Exhibit P5 not served to the accused. Since, in this appeal, the appellant / accused has taken several contentions regarding not giving him fair opportunities to cross-examine PW1 and to lead defense evidence, this court has given opportunity to the appellant to cross- examine PW1 and also to lead defense evidence. Hence, the learned counsel for the appellant fully cross- examined PW1 and the appellant also led defense evidence and examined as DW1 and documents Exhibit D1 to D3 are marked on the side of the accused. The main contention of the appellant is that his elder brother Chandrashekar K.M borrowed sum of Rs. 50,000 from the complainant. Hence, for security purpose, the complainant received one cheque belongs to the present accused and another cheque belongs to his brother Chandrashekar K.M on 18.10.2018. It is the contention of the accused is that even though his brother Chandrashekar K.M repaid the borrowed amount to the complainant, but the complainant failed to return security cheque to him and his brother Chandrashekar K.M, the complainant filed one cheque bounce case against his Cri Appeal No.436/2023 brother Chandrashekar K.M. in CC No. 26452 of 2019 and filed the present case in CC No. 24580 of 2019 against the present accused. It is the contention of the accused is that the complainant misused his security cheque and filed this false complaint.

(15) I have already noted down the defence taken by the accused while cross-examining PW1 before the trial court. In the memorandum of appeal, the appellant has not taken any such defence that he has issued Exhibit P1 cheque as a security on 18.10.2018 when his brother Chandrashekar K.M. was borrowed a sum of rupees 50,000 from the complainant. Even during the course of cross-examination of PW1 in the trial court, the accused has not taken any such defence that he had issued Exhibit P1 cheque for security of the amount borrowed by his brother Chandrashekar. No doubt in the appeal memo, the appellant has taken contention that he has not borrowed any hand loan from the respondent and he has no liability to pay any amount to the respondent. He has also taken contention that the respondent had acquired a cheque belonging to the appellant by illegally Cri Appeal No.436/2023 and fraudulently and he has misused the same to have illegal and wrongful gain from the appellant. but in the appeal memo, the appellant has not taken any such specific defense that his brother Chandrasekhar borrowed sum of Rs. 50,000 from the complainant on 18.10.2018 and at the time, the complainant received one security check from him and another security check from his brother Chandrasekhar. The appellant, who has examined before this court as DW1, in his examination in chief, has deposed that in the month of October 2018, his brother Chandrasekhar approached the complainant Thyagaraj for financial assistance. Then the complainant told his brother Chandrasekhar that if he brought somebody as security, then he would

lend the amount. Hence, on 18.10.2018, the complainant received one blank cheque from his brother and one blank cheque from him as security. By receiving two security cheques, the complainant lent amount of rupees 50,000 to his brother Chandrasekhar. DW1 has deposed that he and his brother repaid the entire amount to the complainant in the month of May 2019 and asked the complainant to return their security check. but the complainant, claiming Cri Appeal No.436/2023 that they have to pay balance amount, dodged the matter. Thereafter, the complainant filed the cheque bounce case against him and his brother. He has deposed that complainant filed cheque bounce case for Rs. 2 lakh against his brother and another cheque bounce case for Rs. 3 lakh against him. After coming to know about filing of the cheque bounce case, he approached his brother and asked him about the same. At that time, his brother told him that he would procure the cheque from the complainant after making settlement. Thereafter, his brother Chandrashekar settled the matter with the complainant in the court and paid sum of Rs. 1,40,000. He has produced and got marked document exhibit D1 to D3, certified copy of order sheet, certified copy of complaint, and certified copy of judgment in CC number 26452 of 2019.

(16) During the course of cross-examination of DW1 by the learned counsel for the respondent, he has admitted the suggestion that Exhibit P1 cheque belongs to his bank account. He has admitted his signature, Exhibit P1A. He has admitted the suggestion that Exhibit Cri Appeal No.436/2023 P1 came to be dishonoured when presented to the bank. He has admitted his address mentioned in Exhibit P3 legal notice. He has admitted the suggestion that the complainant filed a cheque bounce case against his brother in CC number 26452 of 2019. He has also admitted the suggestion that even after filing joint compromise petition by his brother and the complainant, as his brother failed to pay the compounded amount, hence the trial court passed judgment directing the accused, i.e., his brother, to pay a sum of Rs. 1,40,000 to the complainant. He has pleaded his unawareness, his brother deposited compounded amount only after warrant issued against him. DW1 in his cross-examination has deposed that he himself was advised the complainant to pay hand loan amount of Rs. 50,000 to his brother. He has admitted the suggestion that his brother was paid a cheque amount to the complainant before the court. He has denied the suggestion that in order to avoid to pay the cheque amount to the complainant, he has given false evidence by stating that he has issued Exhibit P1 cheque for security purpose of his brother's hand loan.

Cri Appeal No.436/2023 (17) Since the accused has admitted the fact that Exhibit P1 is that of his bank account and Exhibit P1(a) is his signature, there is presumption available to the complainant under Section 139 and 118 of Negotiable Instruments Act. It is for the accused to rebut the presumption available to the complainant. Whether there is a consistent evidence taken by the accused is to be seen. In his examination-in-chief, DW1 has deposed that in the month of October 2018, his brother Chandrashekar approached the complainant for financial assistance. At that time, the complainant told his brother Chandrashekar that he has to bring any person in order to give security. Hence, he has issued blank cheque in favor of the complainant on 18-10-2018. Thus, on perusal of chief examination of DW1 is that it is his specific case is that his brother Chandrashekar approached the complainant for financial assistance and at that time, the complainant told him to bring any person as security. Then he went and gave blank cheque to the complainant as security. But quite contrary to this, in the cross- examination of DW1, he has deposed that he himself approached the complainant and he has made the Cri Appeal No.436/2023 complainant to give

hand loan of Rs. 50,000 to the brother of accused. But fact remains that on 18-10-2018, the accused approached the complainant. It is the specific case of the complainant is that accused had borrowed a sum of Rs. 3 lakhs as hand loan on 18-10- 2018. The complainant who has examined as PW1 has not disputed regarding receipt of Rs. 2 lakhs hand loan by the Chandrashekar who is brother of present accused. It is the contention of the PW1 is that hand loan amount which was given to brother of accused is separate transaction. It is nothing to do with the present transaction with the accused. He has also admitted regarding filing of cheque bounce case against the brother of accused in CC No. 26452 of 2019 which ended in compromise for Rs. 1,40,000. PW1 has also deposed that he recovered compounded amount through process of court. Since the accused himself has produced and got marked the document such as certified copy of order sheet, complaint and judgment in CC No. 26452 of 2019, we can peruse the transaction of that case which was taken place between the complainant and the brother of present accused.

Cri Appeal No.436/2023 (18) On perusal of exhibit D2, certified copy of complaint filed in CC No. 26452 of 2019 and exhibit D3, certified copy of judgment in CC No. 26452 of 2019, it would go to show that complainant in that case specifically stated that Chandrashekar borrowed sum of Rs. 2 lakhs on 27-10-2018 by way of cash. Even in exhibit D3, judgment, it is stated that accused therein availed hand loan of Rs. 2 lakhs on 27-10-2018. No doubt, the judgment in CC number 26452 of 2019 passed based on the joint compromise petition filed by the complainant and accused Chandrashekar therein,. In the joint memo it is stated that the matter is settled between the complainant and the accused for rupees 1,40,000, the accused agreed to pay entire amount to the complainant in two installments, first installment on 13-1-2023 for Rs. 70,000 and second installment dated 22-2023 for Rs. 70,000. Why this court stating regarding transaction of CC No. 26452 of 2019 is that according to DW1, he had issued blank cheque in favor of the complainant on 18- 10-2018 on the date when his brother Chandrashekar was borrowed sum of rupees 50,000 from the complainant. But in CC No. 26452 of 2019, Cri Appeal No.436/2023 Chandrashekar has not taken any such contention that he had taken sum of Rs. 50,000 from the complainant on 18-10-2018. In CC No. 26452 of 2019, Chandrashekar, by admitting that he borrowed loan from the complainant on 27-10-2018, entered into compromise with the complainant. If at all, the brother of the present accused by contending that he borrowed loan on 18.10.2018 and if he has settled that transaction in CC No.26452 of 2019, the matter would have been different. In the present case, the accused, by admitting that he approached the complainant on 18-10-2018, started to take contention that on that day, he issued Exhibit P-1 cheque for security of his brother's loan. There is absolutely no evidence on the side of the accused to show that his brother Chandrashekar borrowed hand loan amount from the complainant on 18-10-2018. On perusal of documents produced by the accused himself, which are marked at Exhibit D-1 to D-3, it would go to show that hand loan taken by the brother of the accused, that is Chandrashekar KM, is subsequent transaction to that of present accused. According to the complainant, the accused had borrowed sum of Rs. 3 lakhs on 18-10-2018.

Cri Appeal No.436/2023 The accused himself admitted that he approached the complainant on 18-10-2018. In the absence of any other cogent evidence to show that accused issued Exhibit P-1 cheque in favour of the complainant on 18-10-2018 as security, this court shall draw presumption available to the complainant under section 139 of Negotiable Instruments Act.

(19) During the course of cross-examination of PW- 1, the learned counsel for the accused made a suggestion to him is that at the time of lending amount, he has not received any cheque. Such suggestion made to PW-1 indicates that at the time of borrowing the amount by the accused, he has not received any cheque. PW-1 in his cross-examination has clearly stated that he had lent amount of Rs. 3 lakhs to the accused on 18.10.2018 at 11 a.m. in his house. PW-1 also deposed regarding lending of hand loan to the brother of accused. PW-1 in his cross- examination clearly deposed regarding his financial capacity. He has deposed that his wife was working as teacher and now getting pension. He is getting monthly rent of Rs. 40,000 from the tenants. He is also having Cri Appeal No.436/2023 amount in the bank account. PW-1 in his cross- examination clearly stated regarding his financial capacity to lend the amount. PW-1 has deposed that the house of the accused is situated at the distance of 2 km from his house. He has deposed that he had sent legal notice to the correct address of the accused. It is pertinent to note that during the course of cross-examination of DW-1, he has admitted the address mentioned in exhibit P3. He has deposed that he was working in that address. Since DW1 himself admitted his address mentioned in exhibit P3, it shall be presumed that notice sent to the accused as per exhibit P3 and sent by mentioning address hence, in exhibit P5, postal cover, to the correct address, section 27 of General Clauses Act can be made applicable to this case. In the cross- examination of PW1, suggestion made to him that he also lent amount of Rs. 1 lakh to Lalitha. Thus, the accused himself admitted the financial capacity of PW1 to lend the amount. PW1 has denied the suggestion that at the time of compromise case in CC No. 26452 of 2019, condition was put to him to return the security cheque of the accused. If at all the complainant had received cheque Cri Appeal No.436/2023 from the present accused as security what prevented the brother of the accused to mention the same in joint compromise petition is not explained before the court. The accused has not made any efforts to examine his brother in this case. DW1, in his examination in chief cleverly stated that his brother is suffering from sugar and is not in a position to walk. He has laid foundation in order to avoid examination of his brother. Even if it is presumed that accused is not able to examine his brother due to his ill health, but in order to substantiate the contention taken by the accused that he has issued Exhibit P1 cheque for security purpose of loan of his brother, there is absolutely no evidence and documents. The self-serving defense of the DW1 without there being supporting evidence is not sufficient to hold that accused is successful in rebutting presumption available to the complainant under Section 139 of Negotiable Instruments Act. As I already noted that the accused has taken inconsistent defense before the trial court and before this appellate court. In the trial court, while cross-examining PW1, the accused gone to the extent of denying his signature on Exhibit P1, but in this appeal, the accused, Cri Appeal No.436/2023 DW1, has admitted his signature on Exhibit P1 cheque and also admitted that Exhibit P1 cheque of his bank account.

(20) The complainant has followed proper procedure as contemplated under Section 138 and 142 of Negotiable Instruments Act. He has presented Exhibit P1 cheque to the bank within its validity. After receipt of endorsement as per Exhibit P2, he has issued Exhibit P3 legal notice to the accused within 30 days. The complainant has given 15 days time to the accused to pay cheque amount./ After giving 15 days time. thereafter, within one month, the complainant filed this complaint. Except self-serving statement of DW1, there is nothing on record to disprove the case of the complainant. On plain reading of Exhibit D-1 to D-3, compared to the evidence of this case, it would go to show that loan transaction with the accused brother is entirely different than that of present loan

transaction with the present accused. This court can draw presumption under Section 139 and 118 of Negotiable Instruments Act. It is important to refer some of the Cri Appeal No.436/2023 judgment of Hon'ble Supreme Court and Hon'ble High Courts.

(21) In the judgment of Hon'ble Supreme Court in the case of K.S. Ranganath Vs Vitthala Shetty reported in 2022 [1] Crimes 454-[SC] wherein head note reads as below:-

"Negotiable Instruments Act, 1881 - Section 138 read with Sections 118 and 139- Dishonour of cheque-Conviction and sentence

- When a cheque is drawn out and is relied upon by drawee, it will raise a presumption that it is drawn towards a consideration which is a legally recoverable amount - Onus is on accused to raise a probable defence and standard of proof for rebutting presumption is on preponderance of probabilities-Defence sought to be put forth and witnesses examined in instant proceedings are only by way of improvement in respect of same cause of action-Defence sought to be put forth relating to cheque and other documents having been obtained by force, cannot be accepted as a probable defence when respondent successfully discharged initial burden cast on him-Appeal dismissed.(Paras 11, 17 and 19)"

(22) The Hon'ble Supreme Court in Judgment in a case of Rangappa V/s Mohan in para no. 14 observed as follows:-

"In the light of these extracts, we are in agreement with the respondent/ claimant that presumption mandated by section 139 of the Cri Appeal No.436/2023 act does indeed include the existence of a legally enforceable debt or liability. To that extent the impugned observations in Krishnajanardhana Bhat case may not be correct. However this does not in any way cast doubt on the correctness of the decision in that case since it was based on the specific facts and circumstance therein. As noted in the citations, this is ofcourse in the nature of a rebuttable presumption and it is open to the accused to raise a defence wherein the existence of a legally enforceable debt or liability can be contested. However there can be no doubt that there is an initial presumption which favours the complainant."

(23) In the decision of Hon'ble Supreme Court reported in 2019(1) DCR 401 between Bir Singh V/s Mukesh Kumar it is held that a meaningful reading of the provisions of the Negotiable Instrument Act including, in particular, sections 20, 87 and 139, makes it amply clear that a person who signs a cheque and makes it over to the payee remains liable unless he adduces evidence to rebut the presumption that the cheque had been issued for payment of a debt or in discharge of a liability. It is immaterial that the cheque may have been filled in by any person other than the drawer, if the cheque is duly signed by the drawer. If the cheque is otherwise valid, the penal provisions of section 138 would be attracted. In my humble view, the principles of these cited decision is Cri Appeal No.436/2023 aptly applicable to the present case because PW1 in his examination in chief clearly deposed regarding accused issuing Ex.P1 cheque towards hand loan availed by the accused from the

complainant. Further, in the judgment of Hon'ble Supreme Court in a case of Sumeti Vij V/s M.s Paramount Tech Fab Industries, wherein it is held that to rebut the presumption, facts must be proved by the accused on a preponderance of probability. In the decision of the Hon'ble High Court of Karnataka in M Ramesh Kumar Case wherein in para No.5 observed that section 138 of N.I. Act, on proof of issuance of the cheque, the onus shifts to the accused to rebut the presumption that the cheque was issued not for discharge of any debt or liability in terms of section 138 of N.I. Act. In the decision of Hon'ble High Court of Karnataka in the case of Sitaram Gouda A V/s Isbu Kunhammade it is held that, accused not disputing issuance of cheque- but taking inconsistent stand later- accused not initiating any proceedings as regards misuse, or forgery of cheque and making of wrongful claim- except denial, accused not proving his case beyond reasonable doubt as obligation was on him to do Cri Appeal No.436/2023 so when he took a special plea.

(24) On perusal of trial court records, the trial court has rightly drawn presumption under S.139 of N.I. Act, by following three ingredients as laid down by the Hon'ble Supreme Court in Rangappa Vs Mohan reported in 2010 SC 1898. Section 139 of N.I. Act empowers the court to presume that holder of cheque received it for discharge of any liability enforceable debt or liability. Burden is on the accused to rebut the said presumption.

(25) Section 118 of The Act reads thus:

118. Presumptions as to negotiable instruments. -- Until the contrary is proved, the following presumptions shall be made:--

(a) Consideration --that every negotiable instrument was made or drawn for consideration, and that every such instrument, when it has been accepted, indorsed, negotiated or transferred, was accepted, indorsed, negotiated or transferred for consideration (26) Further, The Hon'ble Apex Court in (2012) 13 SCC 3123 (Laxmi Dychem v. State of Gujarat) has held thus:

"It has to be presumed that the cheque was issued in discharge of debt or other liability but the presumption could be rebutted by adducing evidence. The burden of proof was however on the person who wanted to rebut the presumption. However, this presumption coupled with the object of Chapter XIV of The Act leads to the conclusion that by countermanding payment of post dated cheque party should not be allowed to get away Cri Appeal No.436/2023 from the penal provision of Section 138 of The Act. "

(27) The learned trial judge on proper appreciation of the evidence on record has rightly come to the conclusion that the accused has committed offence punishable U/s.138 of N.I. Act. The accused has failed to rebut the presumption available to complainant u/SW/139 of NI Act by preponderance of probabilities.

(28) The trial court rightly convicted the accused for the offence u/S.138 of NI Act. There is no infirmity in the impugned judgment of conviction and sentence passed thereon and warrants no

interference at the hands of this appellate court.

(29) Considering on re-appreciation of entire evidence and after perusal of entire records, this court is of the opinion that there is no infirmity in the order passed by the trial court in C.C. No.24580/2019. Hence, I answer point No.1 in the negative.

(30) POINT NO.2:- In view of my findings on point No.1, I proceed to pass the following.

Cri Appeal No.436/2023 ORDER The appeal filed by the appellant / accused U/s.374 [3] of Cr.P.C. is hereby DISMISSED.

The judgment of conviction and
sentence passed by the learned XX

ACMM, Bengaluru, in C.C. No.24580/2019 dated 21.03.2023 is hereby confirmed.

The office is directed to send back TCR forthwith to learned XX ACMM, Bengaluru, along with a copy of this judgment.

[Dictated to the SG-I, transcribed and typed by him, corrected and then pronounced in the open court on this the 6th day of MAY 2026] (MOHAN PRABHU), LV Addl. City Civil & Sessions Judge, Bengaluru. (CCH-56) Cri Appeal No.436/2023 ANNEXURE LIST OF WITNESSES EXAMINED ON BEHALF OF APPELLANT:

DW1 Sri.Uday Kumar LIST OF DOCUMENTS MARKED ON BEHALF OF THE APPELLANT:

Ex.D1 Order sheet in C.C.No.26452/2019 Ex.D2 Copy of PCR No.11556/2019 Ex.D3 Judgment in C.C.No.26452/2019 LV ADDL. CITY CIVIL & SESSIONS JUDGE, (CCH-56), BANGALORE.